

#### 4. International trade and the global economy

| Topic                                 | Learners should be able to                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
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| 4.1 Importance of international trade | <ul style="list-style-type: none"><li>• explain why countries <b>import and export</b> goods and services and the benefits of this for consumers and producers</li><li>• explain <b>free trade agreements</b> including the <b>European Union</b></li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                          |
| 4.2 Balance of payments               | <ul style="list-style-type: none"><li>• explain the <b>balance of payments on current account</b></li><li>• explain the meaning of a <b>balanced current account</b>, a <b>current account surplus</b> and <b>current account deficit</b></li><li>• calculate deficits and surpluses</li><li>• analyse recent and historical data on exports and imports</li><li>• evaluate the importance of the balance of payments on current account to the UK economy</li><li>• evaluate the causes of surpluses and deficits of the balance of payments on current account</li></ul>                                                                                                           |
| 4.3 Exchange rates                    | <ul style="list-style-type: none"><li>• draw and analyse how <b>exchange rates</b> are determined through the interaction of supply and demand</li><li>• calculate <b>currency</b> conversion</li><li>• analyse recent and historical exchange rate data</li><li>• evaluate the effect of changes in the exchange rate on consumers and producers</li></ul>                                                                                                                                                                                                                                                                                                                          |
| 4.4 Globalisation                     | <ul style="list-style-type: none"><li>• explain <b>globalisation</b>, including its driving factors</li><li>• explain how <b>development</b> is measured, including GDP per capita, life expectancy, access to health care, technology and education</li><li>• evaluate the costs and benefits of globalisation to producers, workers and consumers in <b>developed countries</b>, including the impact on economic, social and environmental sustainability</li><li>• evaluate the costs and benefits of globalisation to producers, workers and consumers in <b>less developed countries</b>, including the impact on economic, social and environmental sustainability.</li></ul> |